



GRADUATE DIPLOMA IN MANAGEMENT

September 2025

GDM 601: Leadership and Management in a Digital Economy

(Batch 87)

Case Study (Pre-seen)

Qualification	ATHE Level 6 Graduate Diploma in Management
Issued Date	9 September 2025
Module Tutor	Sanduni Wickramarachchi <i>BSc</i>
Exam Date & Time	21 September 2025 - 9.00 am – 12.10 pm

Learning Outcomes:

By the end of this unit students will be able to:

- LO1:** Understand the approaches to leadership and management to meet organisational objectives
- LO2:** Apply theories of management and leadership to support teams in achieving goals

HERB KELLEHER: LEADING WITH HEART AND VISION

Herb Kelleher and Rollin King founded Southwest Airlines (SWA), which now operates at over 120 airports across 11 countries. As of 2023, it is the fourth-largest airline in North America by passengers carried. During his tenure as CEO, Kelleher was named CEO of the Year by *Chief Executive* magazine in 1999 and received the Global Service Leader Award in 2005. Under his visionary leadership, SWA became known not just for its low-cost model but for its people-centred culture and innovative business strategies. Herb Kelleher has planned Southwest's low-cost, short-haul strategy, by organizing the operations through a standardized fleet. His controlled operations by closely monitoring costs and maintaining high efficiency in turnaround times.

Kelleher spent the majority of his leadership cultivating a work environment that inspired creativity and passion among employees. He prioritized employees over profits, emphasizing that the workforce was the most vital source of competitive advantage. As a result, SWA achieved an unparalleled standard in the airline industry by consistently being profitable and being recognized as one of the best places to work. Employees at SWA held deep affection for Kelleher because he was a good listener and treated them with dignity and respect. He firmly believed in valuing and loving employees as people, not just as workers. He communicated the vision of Southwest Airlines to everyone in the company and inspired employees to see their work as meaningful and fun. He avoided corporate formality and trusted in engaging directly with frontline staff to make himself more approachable. Kelleher promoted a culture of experimentation, encouraging employees to share innovative ideas.

When SWA faced financial trouble, Kelleher had the option of laying off employees or selling one of the planes. Instead, he chose to forgo his own salary increases and bonuses, exemplifying his commitment to job security for his people. The famous "Malice in Dallas" event between Southwest Airlines (SWA) and Stevens Aviation over the slogan "Just Plane Smart" became a historic moment in the airline industry. This event was a publicity stunt in 1992 where Kelleher arm-wrestled the CEO of Stevens Aviation to settle a trademark dispute over the above slogan. Instead of engaging in a costly legal battle, both companies used the event as a light-hearted marketing opportunity, raising funds for charity and boosting their public image. It highlighted Herb Kelleher's integrity and creativity in problem-solving. He also embraced the

concept of “future scenario generation,” which involved anticipating dynamic industry challenges and preparing for multiple outcomes.

A clear example of this foresight was his decision to adopt the point-to-point model, while most competitors relied on the traditional hub-and-spoke system. This innovative approach boosted efficiency and reflected his belief that clinging to conventional wisdom often led airlines to fail. Through these strategies, Kelleher not only challenged industry norms but also built Southwest into one of the most consistently profitable and admired airlines in the world.

LEARNING OUTCOMES AND ASSESSMENT CRITERIA

Learning Outcomes	Pass	Merit	Distinction
1. Understand the approaches to leadership and management to meet organisational objectives	1.1 Discuss different approaches to leadership and management to meet organisational objectives	1M1 Analyse different leadership and management performance and competences to meet organisation objectives	1D1 Recommend suitable leadership and management approaches in different organisational context to meet organisation objectives and achieve goals
2. Apply theories of management and leadership to support teams in achieving goals	2.1 Apply a range of management and leadership theories to creating teams for given organisation contexts	2M1 Compare the impact of different theories of management and leadership, and their impact in given organisation contexts	

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